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Alexander Levy

Shadow minister warns over using tax relief as 'backdoor' route to mandation

Helen Whately sets out a pro-business stall and casts doubt on increased AE contributions



Alex Levy

14 October 2026 • 2 min read

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Image: Helen Whately: Pension tax relief is not a loophole... It should not become a bargaining chip to secure the investment decisions ministers want. Photo: Daniel Graves Photography

Shadow pensions minister Helen Whately said the Labour government "will live to regret" scrapping the state pension triple lock - also casting doubt on the feasibility of raising auto-enrolment (AE) contributions and issuing a warning over further tax relief changes.

Speaking at the Pensions UK Annual Conference today (14 October), Whately reaffirmed the Conservative party's commitment to the triple lock and said that prime minister Andy Burnham has created a new, bigger financial challenge with his commitments on social care.

She said the economic burden on employers and the cost of living posed a "huge problem" to proposals to increase default contributions – asking "where would the money come from to do that?".

Instead, she argued that driving economic growth by cutting regulation and reducing the tax burden on businesses would improve pension outcomes and retirement adequacy across the board.

She said: "The best way to be able to afford better pension provision is to have an economy that's firing on all cylinders and people being paid better and employers having more margin to address all

these all these problems."

Ahead of the Autumn budget and amid speculation of changes to pension tax relief, Whately warned against using tax incentives as a "backdoor" means to mandate investment in UK assets.

"Pension tax relief is not a loophole. It is a vital feature of our pension system. It should not become a bargaining chip to secure the investment decisions ministers want," she said.

In her speech to the conference, Whately nodded to the burden of regulation on schemes, saying that "where the responsibilities of the FCA and The Pensions Regulator overlap, the requirements should at least fit together. Dual regulation is costly and can be confusing."

But in conversation with Pensions UK head of policy Zoe Alexander, the minister shied away from calling for a merger of the regulators, saying the debate was "something that we can certainly get into in the months ahead".

Asked whether her party would reverse the government's changes to salary sacrifice and inheritance tax on pensions, Whately said she would "love to be able to give a resounding yes", but could not due to a commitment to "fiscal prudence".

She also said that Reform UK's proposals to consolidate the Local Government Pension Scheme "didn't really add up" and "there seem to have been some misunderstandings about the way things work in what they came up with".

The minister suggested there was broad cross-party consensus on collective defined contribution schemes (CDC), saying her party was "not itching to unpick" the government's direction.

Concluding, Whately said that the state of the economy would make the biggest difference to people's pension savings, and that progress was "dependent on the amount that you lessen the tax burden on businesses and you lessen the regulatory burden on businesses.

"And government gets out of the way, so that it becomes possible to actually make some money in this country."

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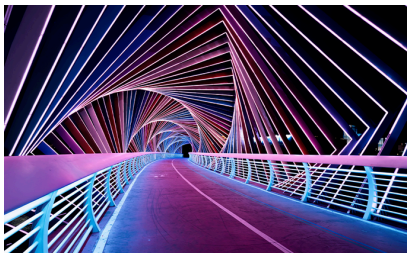
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